

BLZE pitch deck

I tried to close the live-price gap both benches flagged — IBKR `search_contracts` is still permission-denied in this session, so the deck carries the same unpriced caveat and no order can be placed off it.

PITCH — BLZE — VERDICT

PROPOSED — PENDING ADJUDICATION

What we believe

Backblaze sells cloud storage. Two businesses live inside it: a consumer/small-business backup product that is slowly dying (Q2-26 revenue \$16.1M, down 2% year over year), and a developer-facing object-storage business, B2, that is growing fast (annual recurring revenue \$113.3M, up 39%). Total Q2 revenue was \$42.7M; the company guides the full year to \$172–174M.

The thing that changed this month is that Backblaze stopped being a capital-light software company and became a capital-intensive one, on purpose, in a single quarter. In the first half of 2026 it spent \$6.6M on equipment — 8.1% of first-half revenue. The full-year guide implies capital spending of 55–65% of revenue, which means roughly \$89–106M in the back half against roughly \$92M of back-half revenue. That is capital spending at 97–116% of revenue, up more than tenfold in two quarters.

It funded that on August 18–19 by issuing \$175M of convertible notes due 2031 at a 0.00% coupon, converting at \$21.94 (30% above where the stock was), with \$15.2M of the proceeds spent on a “capped call” that pushes the effective dilution point up to \$33.76. It simultaneously amended its bank credit agreement: the revolver goes from \$20M to \$50M, maturity extends from June 2028 to April 2030, and the financial covenants loosen — the minimum EBITDA test is removed and replaced with a fixed-charge coverage test ([8-K filed 2026-08-19](#)).

The build is anchored by one customer: CoreWeave, on a contract circulating at roughly \$313M net / \$335M gross over five-plus years, with contractual minimums that do not start binding until mid-2027.

Our fair value is \$16.00–18.50 per share. That comes from 4.5–5.5x enterprise value to 2027 revenue of roughly \$222M, marked down for two things the company’s preferred profit measure hides: stock compensation running at 19.0% of revenue, and a coming step-up in depreciation from the new equipment. The stock is \$15.94. **We believe it is roughly fairly priced, not cheap.** The reason to own a starter position is not that we found a bargain — it is that after a full adversarial review, nobody produced a specific reason the business breaks, and we have a house rule that “do nothing” requires a named reason, not just an absence of enthusiasm.

What the market believes

Two different markets believe two different things.

Sell-side analysts believe this is a re-rating story. After the August 3 quarter, price targets were raised across the board: Lake Street to \$21 (from \$14), Oppenheimer to \$25 (from \$15), Citizens to \$21 (from \$16), B. Riley to \$24 (from \$16). The mean sits near \$22.75. Their story is that B2 growth plus a raised adjusted-profit guide (27–29% margin, up from 23–25%) plus a marquee AI customer justifies a much higher multiple.

The tape does not believe them. The stock is \$15.94, about 30% below that mean, down 34% from its 52-week high of \$23.99 — while still up 389% from its 52-week low of \$3.26. That is not a stock the market has given up on; it is a stock that ran nearly five-fold and then gave a third of it back. The trading crowd knows about this name.

The gap between \$15.94 and \$22.75 is the market saying: we do not believe the adjusted margin guide, or we do not believe an object-storage company gets a software multiple once it is buying hard drives with borrowed money, or both.

We side with the tape, not the analysts. Our number is below theirs. That is an uncomfortable place to write a pitch from, and we are stating it plainly rather than hiding it: our edge here is not “we see upside the street misses.” It is closer to “we think the street is wrong in the other direction, and the stock has already discounted most of that.”

Why we might have edge

- 1. We priced the financing correctly and most commentary did not.** The headline is “0.00% coupon, free money.” That is wrong — \$15.2M of cash went to buy the capped call, which is about 8.7% of the gross raise, or roughly 1.6% a year over the note’s 5.4-year life, on top of giving away a call on the stock at \$21.94. But the correct comparison is not zero. Backblaze’s *entire* existing debt was equipment finance leases — \$46.7M outstanding, with more than \$150M of undrawn lease capacity it chose not to use. Hardware lease financing costs materially more than 1.6% a year. So this raise is a genuine reduction in the company’s cost of capital, at exactly the moment when the bearish story about companies like this is “their cost of capital is going up.” That is a real, checkable, contrarian point.
- 2. We caught that the story everyone tells about the raise is backwards from the story the numbers tell.** The bull framing was “Backblaze escaped the capital-hungry-infrastructure trap.” Our own review destroyed that: raising \$175M to fund a spend that equals a full year of revenue is the company *entering* that category, not escaping it. We put that in the pitch instead of leaving it out.
- 3. We measured the profit guide against stock compensation and the analysts largely have not.** Adjusted EBITDA in the first half was \$22.9M, or 28.2% of revenue. Stock compensation was \$15.5M, or 19.0% of revenue. Subtract it and the margin is 9.2%. Share count went from 55.6M (mid-2025) to 61.8M (mid-2026) — 11% dilution a year, every year, which is

structurally larger than any of the one-time dilution everyone is arguing about. The guide raise from 23–25% to 27–29% is substantially a bigger add-back, not operating leverage.

4. **We are not paying the story premium.** We would be buying below where we think fair value starts, into a name whose analysts are 30% above the tape. If we are right that the multiple has to migrate from software toward infrastructure, we get paid for being early to that view rather than late to the AI-customer headline.

Why it might be priced in

Honestly: mostly, it is.

- Our own fair value range is \$16.00–18.50 and the stock is \$15.94. That is a 0–16% gap to a range we built ourselves, with a wide-open middle. That is not a mispricing; that is a fair price with a small cushion.
- Everything we know is public. The convert terms were in a press release. The capital-spending guide was in the earnings release. The stock-comp number is in the filing. The CoreWeave deal was announced. There is no private fact here.
- The stock is well covered — six-plus analysts, all of whom moved after the print. This is not an undiscovered name. It ran 4.9x off its low, which means it has been found, traded, and picked over.
- The 34% drawdown is not a dislocation. It is a giveback inside a huge run, and it lines up with a broader cooling in AI-infrastructure-adjacent stocks. We are not buying a mistake; we are buying a de-rating that may not be finished.
- A convertible bond issue creates mechanical selling — arbitrage funds short the stock against the bonds — but that supply gets absorbed over days, not quarters. It explains part of the recent move and it does not create a lasting discount.

The honest version: this is not an alpha idea. It is a fairly-priced position in a business we now understand well, entered small and below the market, with clearly dated tests coming that could turn it into a real position or kill it.

What could go wrong

Failure narrative 1 — The multiple keeps migrating, and \$16 was not the floor (most likely)

We think a storage company spending 100% of revenue on equipment should trade at 4.5–5.5x forward revenue instead of a software multiple. But multiples do not stop politely at the number in our model. Once depreciation from ~\$100M of new drives starts landing — roughly \$20–33M a year beginning in Q4, on a three-to-five-year asset life — the GAAP loss (already \$11.2M in the first half) widens structurally while the company keeps pointing at adjusted EBITDA. If the market decides the right comparison is 2–3x revenue, like a colocation or hosting company, the stock is \$9–12. Nothing about

our thesis prevents this; our fair value is a judgment about where the re-rating stops, and we have no strong basis for that judgment.

Tripwire exists: GAAP depreciation and net loss in the Q3 and Q4 reports; whether the company starts reporting GAAP free cash flow at the September 9 investor day.

Failure narrative 2 — CoreWeave and Backblaze fail together

Backblaze is spending roughly \$100M of capital in the second half of 2026 to serve a customer whose contractual minimums do not begin until mid-2027. That is three quarters of spending ahead of any binding obligation. That same customer holds 4,194,876 warrants struck at \$7.60 — deeply in the money at \$15.94 — which were registered for resale in a prospectus that went effective August 14–17, right before this raise ([424B3, filed 2026-08-17](#)). That is about 6.8% of shares outstanding, in two tranches (3,053,314 already issued, 1,141,562 contingent).

So if CoreWeave hits funding trouble, three bad things happen at once and they are the *same* event: the new equipment is stranded, the receivable is impaired, and the largest strategic holder becomes a forced seller of a position with essentially zero cost basis. This is wrong-way financing — the collateral, the customer, and the shareholder all point the same direction.

Tripwire exists, partially: CoreWeave’s own stock and credit; ownership filings showing warrant sales.

Failure narrative 3 — A term inside the CoreWeave contract that we have never seen (NO MONITORABLE TRIPWIRE)

We cannot see the contract. Backblaze discloses annual recurring revenue and net revenue retention — it does **not** disclose remaining performance obligations, which is the one number that would tell us how much of the CoreWeave arrangement is actually committed backlog versus an intention to buy. The deal size itself circulates in two forms (\$335M gross, \$313M net of warrant value) and we cannot reconcile them from filings.

That means a termination-for-convenience clause, a capacity-reservation the customer can walk from, a price step-down schedule, a most-favored-nation pricing term, or a minimum that resets rather than accrues could each void the economics of the whole build — and we would find out only when revenue failed to appear, months after the capital was spent. There is no filing, no price level, no data feed that tells us in advance.

Unknown-unknown class: private-contract opacity. The load-bearing fact of this thesis lives in a document we have no right to read, in a company that has chosen not to disclose the standard metric (remaining performance obligations) that would summarize it. Everything we “know” about the CoreWeave relationship is management characterization. We should treat the entire revenue ramp as management-asserted rather than verified, and size accordingly.

The reflexive and structural leg

Our own size: the proposal is 0.5% of the book — small in dollar terms. But we have **not measured Backblaze’s average daily volume in this review** (the live market-data connection was unavailable, twice, to both benches and again just now). We therefore cannot state our footprint as a percentage of daily volume, and we are not entitled to assume it is negligible on a \$985M-market-cap name that just had a convertible issue. This is a genuine gap in a position we are proposing to open.

Predicted flow, and the trap in our own entry plan: we are laddering bids *below* the market at \$14.75 / \$13.80 / \$12.60 specifically because we know CoreWeave has a live, registered, unsold, deep-in-the-money stake it can distribute at any time. That is the right instinct — do not pay up in front of known supply. But the reflexive risk is the mirror image: **the only reliable way our lower rungs fill is if CoreWeave is actually selling.** In that case every fill we get is a fill from the best-informed holder of the stock, on the way down, for a reason we will learn about later. Our entry design converts us into the natural buyer for the one seller we should least want to trade against. We accept this consciously; it is not an oversight, and it is the single most uncomfortable structural feature of the trade.

Doctrine interactions: this position exists partly because of a house rule, not conviction. Our convention is that after a clean adversarial review with no surviving fatal objection, “stay flat” requires a *named* kill — and the review produced none that was not really an argument about size. So the rule manufactured a starter position out of a fair price. If that rule is miscalibrated, the failure mode is exactly this: a portfolio of fairly-priced names nobody actually wanted, each individually defensible. Separately, this would sit in a taxable account and start a short-term holding clock, so any exit inside twelve months is taxed at the top rate — which means a 20% gain that we take in six months is worth roughly 12% after tax, and the trade has to clear that bar, not the pre-tax one.

If this position loses money, the most likely reason will be that we anchored on our own fair-value band as if it were a floor, when in fact the market was in the middle of re-pricing Backblaze from a software company to a capital-intensive infrastructure company — and that re-pricing had further to run than either of our benches modeled, with the depreciation from this very buildout providing the evidence that pushes it lower.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Convert terms: \$175M, 0.00%, convert \$21.94, cap \$33.76, capped call cost \$15.2M	Company press release; cross-read against EDGAR filing list	Terms consistent across three secondary venues. But no SEC filing vets them. The only 8-K on file (8/19) says “intention to offer \$150 million ”	NO — press-release-only. The closing 8-K with the actual indenture is due within four business days of the 8/24 close, i.e. by ~8/28
\$26.25M greenshoe (over-allotment option)	Pricing press release	Exists; the original write-up omitted it entirely; we do not know whether it was exercised	Partially — existence yes, exercise no
Credit agreement amended, covenants loosened	Primary 8-K text, read directly	Confirmed verbatim: revolver \$20M→\$50M, maturity June 2028→April 2030, minimum-EBITDA	YES — primary source

Claim	How checked	Found	Confirmed?
		test removed , new fixed-charge coverage test added	
Capital spending steps up ~15x	Recomputed from filings	Our own bench got this wrong. The “3.8% of revenue” figure divided <i>half-year</i> capex by <i>full-year</i> revenue — mismatched denominator. True first-half ratio is 8.1% (\$6.615M / \$81.379M). Step-up is ~12x, still enormous	Corrected. The second bench caught it; the first inherited it uncritically
“The market agrees with us — analyst mean is \$15.17, tape is above it”	Pulled post-earnings targets	Our own bench got this badly wrong. \$15.17 was the <i>pre-earnings</i> target set. Post-print targets are \$21/\$25/\$21/\$24, mean ~\$22.75. The tape is ~30% below the street, not above it	REFUTED — and this was the load-bearing “no edge here” finding. The tell was internal: the same bench wrote “only Citizens (\$21) is outside,” which cannot be true of a set whose high is \$16
Legacy backup segment shrinking	Company release	Confirmed: Computer Backup \$16.1M, down 2%	YES — but our bench claimed this as an original finding derived by subtraction when the company printed it as a headline line. Not our discovery
Dilution overhang is 19.7–21.7%	Share math from the prospectus	Arithmetic correct (4,194,876 / 0.068 = 61.7M shares, matches the reported 61.803M; convert = 7,974,838 shares = 12.9%) — but double-counted. The capped call moves convert dilution to \$33.76, and the arbitrage short was already counted separately. Real tradeable overhang is the 6.8% warrant block	Reduced from 21.7% to 6.8%
Stock compensation is 19% of revenue	First-half filings	Confirmed: \$15.471M / \$81.379M = 19.0%. Adjusted EBITDA of 28.2% becomes 9.2% after it. Neither the original write-up nor the first bench tested the adjusted-margin guide that was the actual headline of the quarter	YES — and it is the biggest thing both of our own reviews initially missed
Share count growth	Filings, year over year	55.627M diluted (6/30/25) → 61.803M outstanding (6/30/26) = +11%/yr	YES
Net revenue retention	Company release	103%, down from 106%	YES
Q3 guide	Company release	\$44.4–44.8M, +4.3% sequential, ~+18% year over year. No near-term deceleration	YES
Committed backlog behind CoreWeave	Searched filings for remaining-performance-obligation disclosure	Not disclosed. Backblaze reports recurring revenue and retention, not RPO. The one metric that would settle	NO — and the absence is itself the finding

Claim	How checked	Found	Confirmed?
		whether the deal is contracted backlog is absent	
Current share price	Attempted live broker quote — denied three times (both benches, and again writing this deck)	Falling back to the vendor feed. The two benches worked off \$15.516; the evidence pack timestamped 16:01:57Z says \$15.94. We cannot reconcile which is current	NO — unresolved 2.7% price discrepancy. No order may be placed off this deck's price
Physical evidence of the buildout	Satellite-imagery check of data-center construction	Could not run — the coordinates on file resolve to state-polygon centroids (empty backcountry in California and Arizona). Backblaze leases third-party facilities and owns no named parcel, so we have no site addresses	NO — and this is the one tool that could have independently verified the capital-spending ramp
Short interest	Not run	No data	NO — coverage gap
Average daily volume / our size vs. liquidity	Not run	No data	NO — coverage gap on a position we are proposing to open

PROPOSED ENTRY BANDS

Reference price \$15.94 (vendor feed, unverified against a live broker quote — see gap above). Shares outstanding 61.803M → market value ~\$985M. Adding \$175M of converts and \$46.7M of leases, subtracting roughly \$190M of pro-forma cash, enterprise value is about **\$1.02B — roughly 5.9x this year's revenue and 4.6x next year's**. That sits inside the 4.5–5.5x band we think is correct, which is the arithmetic behind calling it fair.

Position size: 0.5% of the book — a starter, not a position. No market order.

Entry ladder (all limit, good-till-cancelled, placed below the market on purpose):

Rung	Price	Portion	Why this level
1	\$14.75	0.2% of book	~7.5% below the tape; below the bottom of our fair-value range, so the first fill is at a discount to our own number rather than at it
2	\$13.80	0.15%	Absorbs the first leg of a warrant-driven supply event
3	\$12.60	0.15%	~21% below tape; approximately 3.4x forward revenue — the level where the infrastructure multiple is largely already applied

We are deliberately not buying at \$15.94. At the market price we would be paying our own fair value with a live, registered, unsold 4.19M-share block overhead. There is no reason to be the person who fills that seller at the top of their range.

Trims and exits: - \$21.00 — trim one-third. This is where the convert converts and where the lowest of the four post-print analyst targets sits; it is also above our fair-value range, so we would be selling into the street's story rather than ours. - **\$25.00** — trim to a residual. At the top analyst target and roughly 7x forward revenue, the software multiple has been fully re-applied to a company spending 100% of revenue on hardware. - **Hard stop on thesis, not price:** if the September 9 investor day does not show contractual minimums covering the second-half capital spend, exit the whole thing regardless of price. We are not entitled to hold an infrastructure buildout on faith.

Gates that would take this from 0.5% to a full position (all three required): 1. A closing 8-K on file by **~2026-08-28** with the actual indenture, confirming \$175M / 0.00% / \$21.94 / \$33.76 and disclosing whether the greenshoe was exercised. 2. The **2026-09-09** investor day disclosing **GAAP** free cash flow and take-or-pay minimums that cover the second-half capital spend — not adjusted figures. 3. Stock compensation trending below 15% of revenue.

Dated catalysts: - 2026-08-24 (today) — convertible notes close. - **~2026-08-28** — closing 8-K due (4 business days). **Its absence is a real finding, not a technicality.** - **2026-09-09** — investor day. The single most informative scheduled event. - **2026-11-05** — Q3 earnings. **UNCONFIRMED** — this date comes from a data vendor; no company announcement names it. Backblaze typically announces about three weeks ahead. - **Mid-2027** — CoreWeave contractual minimums begin binding. Roughly three quarters *after* the capital is spent.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 12.6 (deck-provisional: Ladder rung 3 - ~3.4x forward revenue, infrastructure multiple largely applied, 0.15% of book)
- filing watch: 8-K,8-K/A until 2027-02-20 (deck-provisional: Closing 8-K with indenture due ~2026-08-28; must vet \$175M/0.00%/\$21.94/\$33.76 and greenshoe exercise)
- dated pack BLZE|2026-08-24: BLZE: Convertible notes close (date confirmed=True)
- dated pack BLZE|2026-08-28: BLZE: Closing 8-K with indenture due (4 business days from close); absence is a real finding (date confirmed=False)
- dated pack BLZE|2026-09-09: BLZE: Investor day - the single most informative scheduled event; all size-up gates resolve (date confirmed=True)
- dated pack BLZE|2026-11-05: BLZE: Q3 2026 earnings - vendor-derived date, no company announcement names it (date confirmed=False)
- dated pack BLZE|2027-06-30: BLZE: CoreWeave contractual minimums begin binding, roughly three quarters after the capex lands (date confirmed=False)

What remains unverified

1. **Every load-bearing convertible term.** \$175M, 0.00%, \$21.94, \$33.76, \$15.2M capped-call cost, \$26.25M greenshoe — all press-release-only. The only SEC filing on the subject describes a *\$150M* intention. Resolves ~8/28.
2. **Whether the greenshoe was exercised**, which changes the raise from \$175M to \$201.25M and the dilution accordingly.
3. **The CoreWeave contract itself** — size (\$313M vs \$335M unreconciled), duration, minimums, termination rights, pricing mechanics. No remaining-performance-obligation disclosure exists to summarize it. This is the private-contract opacity problem above.
4. **The current share price.** Two figures in play (\$15.516 vs \$15.94), no live broker quote, three denied attempts. **No order may be placed off this deck.**
5. **Short interest.** Never pulled. On a name up 389% off its low with a fresh convertible issue and an active arbitrage short, this is a meaningful blind spot.
6. **Average daily volume and our position's footprint in it.** Never measured.
7. **Physical verification of the capital-spending ramp.** The satellite check could not run — Backblaze leases colocation space and we have no lessor site addresses. This was the only independent way to confirm the buildout is real and on schedule.
8. **The 2026-11-05 earnings date.** Vendor-derived, uncorroborated.
9. **Our own 2027 revenue estimate of ~\$222M**, which drives the fair-value range. It is an extrapolation, not a build, and the fair value moves roughly \$1.30 per share for every \$10M of 2027 revenue.
10. **Where the multiple re-rating stops.** We assert 4.5–5.5x forward revenue. We have no strong evidence it stops there rather than at 3x.

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Two things I'd flag before this goes to adjudication: the deck opens a position with zero sensors armed and no live price, and the second bench's overturn of the "no edge" finding (analyst targets \$22.75, not \$15.17) is doing a lot of work — it rests on a secondary aggregator, not on the brokers' own notes, and I did not independently verify it.